

BROWN UNIVERSITY HEALTH AND AFFILIATES

Quarterly Bond Reporting

June 30, 2025

BROWN UNIVERSITY HEALTH AND AFFILIATES

Quarterly Bond Reporting

June 30, 2025

Table of Contents

	Page(s)
Management's Discussion of Recent Financial Performance	3 - 8
Brown Health Interim Consolidated Financial Statements	9 - 12
Brown Health Consolidated Utilization Statistics	13
Brown Health Obligated Group Consolidated Financial Statements	14 - 17
Brown Health Obligated Group Consolidated Utilization Statistics	18
Notes to Interim Consolidated Financial Statements	19 - 21

Management's Discussion of Recent Financial Performance – Brown University Health and Affiliates (Brown Health)

Executive Summary of Financial Performance

Brown University Health and Affiliates ("Brown Health") includes both Rhode Island operations ("Rhode Island") and newly acquired Massachusetts operations ("Massachusetts"). RI operations refer to Brown Health's legacy operations based in Rhode Island, while Massachusetts operations refer to Massachusetts based operations that were acquired on or after October 1, 2024. Certain financial information within this report is presented separately for Rhode Island and Massachusetts operations for year-over-year comparison purposes.

For the nine months ended June 30, 2025, Rhode Island reported total operating revenues of \$2,797.6 million while Massachusetts reported operating revenues of \$481.2 million, resulting in total operating revenues for Brown Health of \$3,278.8 million. The operating margin for Rhode Island was \$76.0 million while the operating loss for Massachusetts was (\$53.3 million), resulting in an overall operating margin of \$22.7 million for Brown Health. For the quarter ended June 30, 2025, Rhode Island reported total operating revenues of \$964.4 million while Massachusetts reported operating revenues of \$161.4 million, resulting in total operating revenues for Brown Health of \$1,125.8 million. The operating margin for Rhode Island was \$28.4 million while the operating loss for Massachusetts was (\$32.2 million), resulting in an overall operating loss of (\$3.8 million) for Brown Health.

Rhode Island operating revenues for the nine months ended June 30, 2025, increased by \$154.8 million (5.9%) compared to the same period ended in 2024 driven by the Brown Health Pharmacy program revenues (\$84.9 million, 43.9%). Rhode Island operating expenses for the nine months ended June 30, 2025, increased by \$150.3 million (5.8%) compared to the same period ended in 2024 driven by increases in supplies and other expenses including drug costs (\$86.6 million, 12.2%) and employee compensation and benefit costs (\$82.5 million, 5.5%). As a result, Rhode Island's operating margin improved by \$4.5 million (6.3%). Rhode Island's operating margin improved by \$16.9 million (147.3%) for the three months ended June 30, 2025, compared to the same period in 2024, driven primarily by the Pharmacy program margin growth (\$14.4 million, 78.5%).

Massachusetts operating revenues for the nine months ended June 30, 2025, were \$481.2 million while total operating expenses were \$534.5 million, resulting in a total operating loss of (\$53.3 million). For the three months ended June 30, 2025, Massachusetts's operating loss increased by \$11.1 million (52.8%) compared to the prior quarter, driven primarily by continued volume related challenges and elevated supplies and compensation and benefits costs. Massachusetts volumes remain 11.0% below pre-bankruptcy levels. Massachusetts is focused on provider recruitment and on managing staffing levels to the lower volumes until those providers are onboard.

Non-operating activities for the nine months ended June 30, 2025, were \$45.0 million compared to \$62.5 million for the 2024 period. Blended investment performance, for both the long-term investment pool (LTIP) and the RISE captive pool, yielded returns of +5.9% and +11.6% for the nine months ended June 30, 2025 and June 30, 2024, respectively.

During the quarter ended June 30, 2025, Brown Health issued \$416.8 million of taxable and tax-exempt long-term debt. Most of the proceeds were used to repay shorter-term interim borrowings and line of credit balances.

(Continued)

Management's Discussion of Recent Financial Performance – Brown Health (Continued)

Quarter Ended June 30, 2025 compared to Quarter Ended June 30, 2024.

For the three months ended June 30, 2025, Brown Health reported an operating loss of (\$3.8 million), a (\$15.3 million) decrease compared to operating income of \$11.5 million for the three months ended June 30, 2024. Excess of revenues over expenses was \$48.7 million for the three months ended June 30, 2025, compared to \$13.3 million for the three months ending June 30, 2024, reflecting higher investment income in for the three months ended June 30, 2025, compared to the three months ended June 30, 2024.

Rhode Island patient service revenue increased by \$57.8 million (8.0%) for the three months ended June 30, 2025, compared to the three months ended June 30, 2024, driven by higher acuity and favorable payor and rate mix (\$36.6 million). Inpatient revenues decreased year over year by \$3.8 million associated with a decline in discharges of 4.7%, partially offset by overall rate increases. Outpatient revenues increased \$56.8 million (14.2%) as we continue to see a shift in our overall statistics from inpatient to outpatient. For the three months ended June 30, 2025, Medicaid State Directed Payments (SDP) and Disproportionate Share Hospital (DSH) revenues were higher by \$10.0 million (30.2%) compared to the three months ended June 30, 2024. Brown Health's benefit under the program declined year-over-year, due to lower program funding from the State of Rhode Island (\$3.9 million) and projected market share lost within the Medicaid population (\$1.9 million). Rhode Island uncompensated care, which includes net charity care and the provision for bad debts, decreased by \$10.7 million (46.5%) driven by a change in accounting estimate as contractual adjustments are now taken into account prior to calculating charity care effective Q3 FY 2025. The prior year period was not restated. During the three months ended June 30, 2024, Brown Health recorded risk-based loss reserves totaling \$6.5 million. Brown Health has since substantially exited these downside risk-based contracts.

Brown Health pharmacy revenues increased by \$35.7 million (50.7%) to \$106.1 million, incurring \$20.1 million (44.5%) in additional drug costs for the three months ended June 30, 2025 compared to the three months ended June 30, 2024. The overall pharmacy improvement in margin reflects a year-over-year increase within specialty drug volume and expanded 340B eligibility.

Rhode Island operating expenses increased by \$74.5 million (8.6%) in the three months ended June 30, 2025 compared to the three months ended June 30, 2024, due to increases in compensation and benefits of \$30.8 million (6.1%), non-pharmacy supplies and other expenses of \$21.4 million (10.6%) and depreciation and amortization of \$4.9 million (20.7%).

Rhode Island compensation and benefits costs increased by \$30.8 million (6.1%) for the three months ended June 30, 2025 compared to the three months ended June 30, 2024. The increase was driven by additional operating and contract labor FTEs (\$13.9 million), operational merit increases, growth in physician support, and all other changes in compensation and fringe benefits (\$15.6 million) for the three months ended June 30, 2025 compared to the three months ended June 30, 2024. Self-insured health expenses increased by \$1.3 million for the three months ended June 30, 2025 compared to the three months ended June 30, 2024..

Rhode Island operations supplies costs increased by \$41.5 million (16.8%) for the three months ended June 30, 2025 compared to the three months ended June 30, 2024. This increase includes the above-mentioned growth within the retail and contract pharmacies (\$20.1 million).

(Continued)

Management's Discussion of Recent Financial Performance – Brown Health (Continued)

Excluding pharmacy drug costs, all other supplies increased by \$21.4 million (10.6%) for the three months ended June 30, 2025 compared to the three months ended June 30, 2024.

Massachusetts patient service revenue was \$155.9 million for three months ended June 30, 2025. Massachusetts operating expenses were \$193.6 million for the three months ended June 30, 2025, consisting of compensation and benefits (\$95.0 million), supplies and other expenses (\$66.7 million), and purchased services (\$18.3 million). All other expenses, including license fees, depreciation and amortization and interest, totaled \$13.6 million.

Nonoperating gains amounted to \$52.5 million for the three months ended June 30, 2025 compared to \$1.8 million for three months ended June 30, 2024. The following is a summary comparison of nonoperating performance:

	Three Months Ended June 30	
	2025	2024
	(In thousands)	
Investment income	\$ 54,223	\$ 4,491
Non-service periodic pension costs	(3,236)	(3,321)
Other nonoperating losses, net	<u>1,525</u>	<u>165</u>
Total nonoperating gains, net	<u>\$ 52,512</u>	<u>\$ 1,335</u>

Nine Months Ended June 30, 2025 compared to Nine Months Ended June 30, 2024.

Brown Health income from operations was \$22.7 million for the nine months ended June 30, 2025, a \$48.8 million decrease compared to \$71.5 million for the nine months ended June 30, 2024. Excess of revenues over expenses was \$67.7 million for the nine months ended June 30, 2025, compared to \$133.9 million for the nine months ended June 30, 2024, reflecting lower investment performance for the nine months ended June 30, 2025, compared to the nine months ended June 30, 2024.

Rhode Island patient service revenue increased by \$101.8 million (4.6%) for the nine months ended June 30, 2025, compared to the nine months ended June 30, 2024, driven by higher acuity and favorable payor and rate mix (\$117.5 million). Inpatient revenues increased year over year by \$36.5 million (3.6%), overall rate increases were partially offset by a reduction in discharges compared to the same period in 2024 (1.0%). Outpatient revenues increased \$170.7 million (14.9%) as we continue to see a shift in our overall statistics from inpatient to outpatient. Excluding significant items totaling \$20.5 million, primarily prior year 340(B) settlements and the year over year change in prior year third party audit settlements, Rhode Island patient service revenue increased by \$122.3 million (5.6%) for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024. Excluding significant items, SDP and DSH revenues were higher by \$8.3 million (6.8%) compared to the three months ended June 30, 2024. Rhode Island uncompensated care, which includes net charity care and the provision for bad debts, increased by \$3.5 million (2.1%). Net charity care increased by \$6.5 million (6.7%) while provision for bad debts decreased by \$3.0 million (4.1%) for the nine months ended June 30, 2025, compared to the nine months ended June 30, 2024. Rhode Island increased risk-based loss reserves by \$11.3 million in the nine months ended June 30, 2025 compared to a \$28.6 million increase for the nine months ended June 30, 2024. Certain risk-based contracts experienced elevated utilization, high-cost cases, and deteriorating risk-scores.

(Continued)

Management's Discussion of Recent Financial Performance – Brown Health (Continued)

Brown Health pharmacy revenues increased by \$84.9 million (43.9%) to \$278.0 million, incurring \$45.2 million (35.0%) in additional drug costs for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024. The overall pharmacy growth reflects a year-over-year increase within specialty drug volume.

Rhode Island operating expenses increased by \$150.3 million (5.8%) for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024, due primarily to increases in compensation and benefits of \$82.5 million (5.5%) and non-pharmacy supplies and other expenses of \$41.4 million (7.1%), partially offset by lower license fees of \$31.3 million (25.0%).

Rhode Island compensation and benefits costs increased by \$82.4 million (5.5%) for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024. The increase was driven by additional operating and contract labor FTEs (\$29.7 million), operational merit increases, growth in physician support, and all other changes in compensation and fringe benefits (\$40.7 million) for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024. Self-insured health expenses increased by \$11.1 million for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024.

Rhode Island supplies costs increased by \$86.6 million for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024, including the above noted growth within the retail and contract pharmacy operations (\$45.2 million). Excluding the pharmacy drug costs, all other supplies increased by \$41.4 (7.1%) million for the nine months ended June 30, 2025 compared to the nine months ended June 30, 2024.

Massachusetts patient service revenue was \$466.0 million for the nine months ended June 30, 2025. Massachusetts operating expenses totaled \$534.5 million for the nine months ended June 30, 2025, consisting of compensation and benefits (\$263.2 million), supplies and other expenses (\$174.8 million), and purchased services (\$61.6 million). All other expenses, including license fees, depreciation and amortization and interest, totaled \$34.8 million.

Nonoperating gains amounted to \$45.0 million for the nine months ended June 30, 2025, compared to nonoperating gains of \$62.5 million for the nine months ended June 30, 2024. The following is a summary comparison of nonoperating performance:

	Nine Months Ended June 30	
	2025	2024
	(In thousands)	
Investment income	\$ 54,140	\$ 77,355
Non-service periodic pension costs	(9,630)	(14,300)
Other nonoperating gains (losses), net	<u>461</u>	<u>(596)</u>
Total nonoperating gains, net	<u>\$ 44,971</u>	<u>\$ 62,459</u>

(Continued)

Management's Discussion of Recent Financial Performance – Brown Health (Continued)

Changes in Net Assets.

Total net assets of Brown Health increased by \$114.3 million in the nine months ended June 30, 2025, compared to an increase of \$195.2 million in the nine months ended June 30, 2024. The following is a summary comparison of performance:

	Nine Months Ended June 30	
	2025	2024
	(In thousands)	
Operating Income	\$ 22,739	\$ 71,518
Nonoperating investment performance	54,140	77,355
Earnings on donor restricted investments	28,164	77,046
Gifts, grants, and bequests	159,960	154,495
Net assets released from restrictions	(143,818)	(168,747)
Non-service periodic pension costs	(9,630)	(14,300)
All other performance	<u>2,789</u>	<u>(2,134)</u>
Increase in net assets	<u>\$ 114,344</u>	<u>\$ 195,233</u>

Balance Sheet Discussion.

Cash and cash equivalents increased by \$132.5 million to \$288.3 million at June 30, 2025 from \$155.8 million as of September 30, 2024. The increase was driven by the receipt of SDP funds.

Rhode Island Days in AR improved to 37.8 days as of June 30, 2025, from 38.2 days as of September 30, 2024. Massachusetts Days in AR remain elevated at 56.2 as of June 30, 2025, reflecting payor delays primarily at the physician organization. Brown Health is focused on denials management, and Massachusetts is scheduled to go live on Epic in Q4, a major step in unifying the billing and collection process.

Assets limited as to use increased \$346.8 million to \$2,266.4 million at June 30, 2025, from \$1,919.6 million at September 30, 2024. The increase reflects bond proceeds received and favorable investment returns for the nine months ended June 30, 2025, less funds requisitioned.

Other accrued expenses increased \$152.8 million to \$225.3 million at June 30, 2025, from \$72.5 million at September 30, 2024, driven primarily by accrued license fees payable and deferred revenue associated with a cash advance received from the State of Massachusetts. Brown Health paid \$125.3 million in license fees in July 2025.

Long-term debt, including the current portion, increased \$500.5 million to \$1,221.0 million at June 30, 2025, from \$720.5 million at September 30, 2024, driven primarily by the financing activities associated with the MA acquisition and related liquidity needs. During the third quarter, Brown Health issued Series 2025 tax-exempt and taxable bonds totaling \$416.8 million. Proceeds were used to reimburse prior capital expenditures and to refinance interim borrowings and lines of credit deployed in the first half of the year. The residual proceeds were deployed in short-term investments.

(Continued)

Management's Discussion of Recent Financial Performance – Brown Health (Continued)

The Brown Health OG provides the information in these reports in accordance with the terms of the Continuing Disclosure Agreement dated August 11, 2016, which grants discretion to the Brown Health OG to determine the details of the quarterly information that it will provide if it is based upon the unaudited consolidated financial statements of Brown Health Corporation and its Affiliates as well as those of the Brown Health OG. Accordingly, the Brown Health OG advises the recipients and users of this information that in the future it may change the level of detail, combine information, and make other changes in the format and scope of the quarterly information presented.

BROWN HEALTH AND AFFILIATES

Consolidated Statements of Financial Position

June 30, 2025 and September 30, 2024

(In thousands)

Assets	6/30/2025	9/30/2024	Liabilities and Net Assets	6/30/2025	9/30/2024
Current assets:			Current liabilities:		
Cash and cash equivalents	\$ 288,306	\$ 155,803	Accounts payable	\$ 156,800	\$ 144,342
			Accrued employee benefits and compensation	178,422	110,174
Patient accounts receivable	414,389	302,472	Other accrued expenses	225,296	72,510
Other receivables	183,582	124,672	Current portion of long-term debt	22,780	20,484
Current portion of contributions receivable, net	14,298	13,896	Current portion of estimated third-party payor settlements	57,538	56,459
			Current portion of estimated malpractice and other self-insurance costs	96,549	88,800
Total receivables	612,269	441,040	Operating lease liabilities, current portion	20,708	22,927
Assets limited as to use	74,214	71,261			
Inventories	52,106	50,194	Total current liabilities	758,093	515,696
Prepaid expenses and other current assets	30,491	30,431			
			Long-term debt, net of current portion	1,198,208	699,996
Total current assets	1,057,384	748,729	Estimated third-party payor settlements, net of current portion	27,699	27,699
Assets limited as to use	2,340,638	1,990,821	Estimated malpractice self-insurance costs, net of current portion	197,942	188,307
Less amount required to meet current obligations	(74,214)	(71,261)	Accrued pension liability	46,194	46,943
			Operating lease liabilities, noncurrent	68,908	80,971
Noncurrent assets limited as to use	2,266,424	1,919,560	Other liabilities	85,415	78,250
Right-of-use assets, net - operating leases	86,537	100,875			
			Total liabilities	2,382,458	1,637,862
Property and equipment, net	1,002,804	784,156			
			Net assets:		
Other assets:			Net assets without donor restrictions	1,390,667	1,313,845
Contributions receivable, net	28,347	16,067	Net assets with donor restrictions	798,992	761,470
Other noncurrent assets	130,622	143,790			
			Total net assets	2,189,659	2,075,315
Total other assets	158,969	159,857			
			Total liabilities and net assets	\$ 4,572,118	\$ 3,713,177
Total assets	\$ 4,572,118	\$ 3,713,177			

See accompanying notes to interim consolidated financial statements (unaudited)

BROWN HEALTH AND AFFILIATES

Consolidated Statements of Operations and Changes in Net Assets

(In thousands)

	Three Months Ended June 30		Nine Months Ended June 30	
	2025	2024	2025	2024
Revenues and other support without donor restrictions:				
Patient service revenue	\$ 937,669	\$ 724,008	\$ 2,764,057	\$ 2,196,243
Other revenues	138,502	99,155	370,963	277,844
Net assets released from restrictions used for operations	7,336	8,427	28,468	53,969
Net assets released from restrictions used for research	42,299	41,384	115,350	114,778
Total revenues and other support without donor restrictions	1,125,806	872,974	3,278,838	2,642,834
Operating expenses:				
Compensation and benefits	627,379	501,536	1,852,267	1,506,555
Supplies and other expenses	355,843	247,663	972,456	711,027
Purchased services	69,552	53,781	212,352	147,933
License fees	34,780	31,320	104,336	125,279
Depreciation and amortization	31,291	23,591	88,013	70,825
Interest	10,750	3,600	26,677	9,697
Total operating expenses	1,129,593	861,491	3,256,100	2,571,316
(Loss) income from operations	(3,787)	11,483	22,739	71,518
Nonoperating gains and losses:				
Gifts and bequests without donor restrictions	1,922	2,130	3,704	3,372
Income from board-designated investments	1,368	918	4,330	4,142
Net realized and unrealized gains on board-designated investments	52,855	4,023	49,810	73,213
Non-service periodic pension costs	(3,236)	(3,321)	(9,630)	(14,300)
Fundraising expenses	(2,068)	(2,108)	(4,572)	(4,570)
Other nonoperating losses, net	1,671	143	1,329	602
Total nonoperating gains, net	52,512	1,785	44,971	62,459
Excess of revenues over expenses	\$ 48,725	\$ 13,268	\$ 67,710	\$ 133,977

(Continued)

BROWN HEALTH AND AFFILIATES

Consolidated Statements of Operations and Changes in Net Assets (Continued)

(In thousands)

	Three Months Ended June 30		Nine Months Ended June 30	
	2025	2024	2025	2024
Changes in net assets without donor restrictions:				
Excess of revenues over expenses	\$ 48,725	\$ 13,268	\$ 67,710	\$ 133,977
Other changes in net assets without donor restrictions:				
Net assets released from restrictions used for purchase of property and equipment	3,287	3,206	9,924	8,313
Other (decreases) increases	(1,091)	45	(812)	(51)
Increase in net assets without donor restrictions	<u>50,921</u>	<u>16,519</u>	<u>76,822</u>	<u>142,239</u>
Changes in net assets with donor restrictions:				
Gifts, grants, and bequests	46,303	41,594	159,960	154,495
Income from restricted endowment and other restricted investments	2,465	2,709	11,042	12,391
Net assets released from restrictions	(52,107)	(53,006)	(154,246)	(177,093)
Net realized and unrealized gains on investments	23,863	3,095	17,122	64,655
Fundraising expenses	4,665	(819)	3,732	(1,361)
Other (decreases) increases	(25)	355	(88)	(93)
Increase (decrease) in net assets with donor restrictions	<u>25,164</u>	<u>(6,072)</u>	<u>37,522</u>	<u>52,994</u>
Increase in net assets	<u>76,085</u>	<u>10,447</u>	<u>114,344</u>	<u>195,233</u>
Net assets, beginning of period	<u>2,113,574</u>	<u>1,991,731</u>	<u>2,075,315</u>	<u>1,806,945</u>
Net assets, end of period	<u>\$ 2,189,659</u>	<u>\$ 2,002,178</u>	<u>\$ 2,189,659</u>	<u>\$ 2,002,178</u>

See accompanying notes to interim consolidated financial statements (unaudited).

BROWN HEALTH AND AFFILIATES

Consolidated Statements of Cash Flows

(In thousands)

	Three Months Ended June 30		Nine Months Ended June 30	
	2025	2024	2025	2024
Cash flows from operating activities:				
Increase in net assets	\$ 76,085	\$ 10,447	\$ 114,344	\$ 195,233
Adjustments to reconcile increase in net assets to net cash provided by operating activities:				
Net realized and unrealized losses (gains) on investments	(76,718)	(7,118)	(66,932)	(137,868)
Contributions restricted for purchase of property and equipment	(4,109)	(1,003)	(21,965)	(4,578)
Changes in operating right-of-use assets and lease liabilities, net	24	(57)	56	(546)
Depreciation and amortization	31,288	23,591	88,013	70,825
Provision for estimated self-insurance costs	81,000	70,415	245,757	204,618
Change in:				
Liabilities for estimated self-insurance costs resulting from claims paid	(71,044)	(60,770)	(228,373)	(198,226)
Patient accounts receivable	7,339	(12,145)	(111,917)	(13,534)
Accounts payable	(10,592)	(26,468)	12,458	(16,369)
Accrued employee benefits and compensation	43,193	23,966	68,248	25,089
Estimated third-party payor settlements	467	1,764	1,079	11,742
All other current and noncurrent assets and liabilities, net	50,559	(19,947)	94,462	(57,649)
Net cash provided by operating activities	127,490	2,675	195,228	78,737
Cash flows from investing activities:				
Purchases of property and equipment	(53,977)	(21,996)	(306,660)	(58,337)
Purchases of assets limited as to use	(537,764)	(186,447)	(1,315,856)	(1,072,814)
Proceeds from sales of assets limited as to use	452,340	205,039	995,819	761,354
Net decrease (increase) in funds held by third parties under long-term debt agreements	188,520	29,444	196,502	29,444
Other net (increases) decreases in assets limited as to use	(213,671)	(45,287)	(162,556)	1,799
Net cash used in investing activities	(164,552)	(19,247)	(592,752)	(338,554)
Cash flows from financing activities:				
Proceeds from issuance of long-term debt	427,245	—	527,245	332,814
Proceeds from short term borrowings	24,003	—	424,003	—
Payments on short term borrowings	(424,003)	—	(424,003)	—
Payments on long-term debt	(23,398)	(17,342)	(24,741)	(18,225)
Restricted contributions	4,109	1,003	21,965	4,578
Net cash provided by (used in) financing activities	7,956	(16,339)	524,469	319,167
Net (decrease) increase in cash and cash equivalents	(29,105)	(32,911)	126,946	59,350
Cash, cash equivalents, and restricted cash at:				
Beginning of period	323,299	200,098	167,248	107,837
End of period	\$ 294,194	\$ 167,187	\$ 294,194	\$ 167,187
Supplemental disclosure of cash flow information:				
Cash paid for interest	\$ 6,807	\$ 2,078	\$ 21,047	\$ 10,680
Cash and cash equivalents	288,306	155,803	288,306	155,803
Restricted cash	5,888	9,480	5,888	9,480
Cash, cash equivalents, and restricted cash	\$ 294,194	\$ 165,283	\$ 294,194	\$ 165,283

See accompanying notes to interim consolidated financial statements (unaudited).

**BROWN HEALTH AND AFFILIATES
CONSOLIDATED HOSPITAL UTILIZATION STATISTICS**

A summary of utilization data for the second quarters of FY25 and FY24, as well as the interim fiscal-years ended FY25 and FY24, is presented in the following table.

	Three Months Ended			Nine Months Ended		
	June 30			June 30		
	Massachusetts 2025	Rhode Island 2025 2024		Massachusetts 2025	Rhode Island 2025 2024	
Inpatient Statistics:						
Licensed Beds -- Adult	308	989	989	308	989	989
Licensed Beds -- Pediatrics	-	176	176	-	176	176
Total Licensed Beds	308	1,165	1,165	308	1,165	1,165
Beds in Service -- Adult	258	945	945	264	945	945
Beds in Service -- Pediatrics	-	172	172	-	172	172
Total Staffed Beds	258	1,117	1,117	264	1,117	1,117
Discharges:						
Adult	3,631	12,394	13,106	11,048	38,408	38,981
Pediatrics	-	1,534	1,505	-	4,835	4,656
Total	3,631	13,928	14,611	11,048	43,243	43,637
Patient Days:						
Adult	17,862	70,534	71,883	58,741	217,974	218,538
Pediatrics	-	12,490	12,075	-	36,551	36,855
Total	17,862	83,024	83,958	58,741	254,525	255,393
Observation Days:						
Adult	926	7,020	6,366	2,480	19,398	17,852
Pediatrics	-	719	737	-	2,206	2,173
Total	926	7,739	7,103	2,480	21,604	20,025
Total Inpatient Activity:						
Adult	18,788	77,554	78,249	61,221	237,372	236,390
Pediatrics	-	13,209	12,812	-	38,757	39,028
Total	18,788	90,763	91,061	61,221	276,129	275,418
Average Length of Stay:						
Adult	4.92	5.69	5.48	5.32	5.68	5.61
Pediatrics	-	8.14	8.02	-	7.56	7.92
Total	4.92	5.96	5.75	5.32	5.89	5.85
Percent of Total Occupancy of Beds in Service:						
Adult	80.0%	90.2%	91.0%	84.9%	92.0%	91.3%
Pediatrics	-	84.4%	81.9%	-	82.5%	82.8%
Total	80.0%	89.3%	89.6%	84.9%	90.6%	90.0%
Medicare Case Mix Index	1.482	1.928	1.975	1.246	1.937	1.924
Inpatient Surgeries	692	3,335	3,415	2,070	10,016	10,325
Outpatient Statistics:						
Emergency Department Visits	21,291	63,532	61,916	63,575	188,361	181,667
Clinic and office Visits	12,446	315,727	299,374	36,843	946,390	904,946
Ambulatory Surgeries	3,130	6,686	6,523	9,400	19,285	18,894

BROWN HEALTH OBLIGATED GROUP
Supplemental Information
June 30, 2025

BROWN HEALTH OBLIGATED GROUP

Combined Statements of Financial Position

June 30, 2025

(In thousands)

Assets	2025	Liabilities and Net Assets	2025
Current assets:		Current liabilities:	
Cash and cash equivalents	\$ 201,033	Accounts payable	\$ 147,840
Patient accounts receivable	344,617	Accrued employee benefits and compensation	103,417
Other receivables	824,897	Other accrued expenses	567,498
Current portion of contributions receivable, net	7,423	Current portion of long-term debt	21,206
Total receivables	1,176,937	Current portion of estimated third-party payor settlements	3,975
Inventories	51,696	Estimated health care benefit self-insurance costs	15,342
Prepaid expenses and other current assets	8,667	Operating lease liabilities, current portion	10,106
Total current assets	1,438,332	Total current liabilities	869,384
Interest in net assets of related Foundation	140,310	Long-term debt, net of current portion	1,197,912
Assets limited as to use	1,715,678	Estimated third-party payor settlements, net of current portion	27,107
Right-of-use assets, net - operating leases	33,429	Accrued pension liability	42,128
Property and equipment, net	974,624	Operating lease liabilities, noncurrent portion	24,037
Other assets:		Other liabilities	10,478
Contributions receivable, net	27,118	Total liabilities	2,171,045
Other noncurrent assets	5,607	Net assets:	
Total other assets	32,725	Net assets without donor restrictions	1,378,354
Total assets	\$ 4,335,099	Net assets with donor restrictions	785,699
		Total net assets	2,164,054
		Total liabilities and net assets	\$ 4,335,099

See accompanying notes to interim combined financial statements (unaudited).

BROWN HEALTH OBLIGATED GROUP

Combined Statements of Operations and Changes in Net Assets

(In thousands)

	Three Months Ended June 30		Nine Months Ended June 30	
	2025	2024	2025	2024
Revenues and other support without donor restrictions:				
Patient service revenue	\$ 819,883	\$ 617,252	\$ 2,422,631	\$ 1,898,381
Other revenues	122,304	76,899	326,276	213,810
Endowment earnings contributed toward community benefit	4,863	4,431	14,689	13,523
Net assets released from restrictions used for operations	7,336	7,983	28,468	52,356
Net assets released from restrictions used for research	42,299	41,384	115,350	114,778
Total revenues and other support without donor restrictions	<u>996,686</u>	<u>747,949</u>	<u>2,907,415</u>	<u>2,292,848</u>
Operating expenses:				
Compensation and benefits	454,991	347,552	1,347,414	1,054,902
Supplies and other expenses	303,958	217,294	827,293	624,868
Purchased services	111,522	94,992	338,619	283,176
Depreciation and amortization	30,290	20,754	84,987	62,347
Interest	10,719	3,608	26,570	9,544
License fees	34,780	27,190	104,336	108,759
Total operating expenses	<u>946,259</u>	<u>711,390</u>	<u>2,729,218</u>	<u>2,143,596</u>
Income from operations	<u>50,427</u>	<u>36,559</u>	<u>178,197</u>	<u>149,252</u>
Nonoperating gains and losses:				
Gifts and bequests without donor restrictions	6,727	1,074	2,614	2,009
Income from board-designated investments	1,367	179	4,326	761
Net realized and unrealized losses on board-designated investments	30,864	991	28,891	43,026
Non-service periodic pension costs	(2,817)	(2,507)	(8,355)	(10,948)
Fundraising expenses	(1,709)	(1,450)	(4,021)	(3,189)
Other nonoperating gains, net	1,716	1	1,234	169
Total nonoperating gains (losses), net	<u>36,149</u>	<u>(1,712)</u>	<u>24,689</u>	<u>31,828</u>
Excess of revenues over expenses	<u>\$ 86,576</u>	<u>\$ 34,847</u>	<u>\$ 202,886</u>	<u>\$ 181,080</u>

(Continued)

BROWN HEALTH OBLIGATED GROUP

Combined Statements of Operations and Changes in Net Assets (Continued)

(In thousands)

	Three Months Ended June 30		Nine Months Ended June 30	
	2025	2024	2025	2024
Changes in net assets without donor restrictions:				
Excess of revenues over expenses	\$ 86,576	\$ 34,847	\$ 202,886	\$ 181,080
Equity transfers to affiliates	(27,754)	(14,552)	(95,939)	(41,036)
Other changes in net assets without donor restrictions:				
Net assets released from restrictions used for purchase of				
property and equipment	3,288	3,206	9,924	8,313
Other (decreases) increases	(16,624)	327	(4,368)	375
	<u>45,486</u>	<u>23,828</u>	<u>112,503</u>	<u>148,732</u>
Increase in net assets without donor restrictions				
Changes in net assets with donor restrictions:				
Gifts, grants, and bequests	44,989	42,519	157,458	147,724
Income from restricted endowment and other restricted investments	2,442	2,326	10,907	10,119
Transfers from affiliates	248	754	2,800	2,044
Net assets released from restrictions	(52,080)	(52,573)	(154,169)	(175,447)
Net realized and unrealized losses on investments	23,458	2,512	16,780	54,665
Fundraising expenses	4,665	(586)	3,732	(1,361)
Other (decreases) increases	1,015	1,035	704	1,381
	<u>24,737</u>	<u>(4,013)</u>	<u>38,212</u>	<u>39,125</u>
Increase (decrease) in net assets with donor restrictions				
Increase in net assets	70,223	19,815	150,715	187,857
Net assets, beginning of period	<u>2,085,668</u>	<u>\$ 1,568,079</u>	<u>2,005,177</u>	<u>1,400,037</u>
Net assets, end of period	<u>\$ 2,155,891</u>	<u>\$ 1,587,894</u>	<u>\$ 2,155,892</u>	<u>\$ 1,587,894</u>

See accompanying notes to interim combined financial statements (unaudited)

**BROWN HEALTH OBLIGATED GROUP
HOSPITAL UTILIZATION STATISTICS**

A summary of utilization data for the second quarters of FY25 and FY24, as well as the interim fiscal-years ended FY25 and FY24, is presented in the following table.

	Three Months Ended June 30		Nine Months Ended June 30	
	2025	2024	2025	2024
Inpatient Statistics:				
Licensed Beds -- Adult	1,297	860	1,297	860
Licensed Beds -- Pediatrics	176	176	176	176
Total Licensed Beds	1,473	1,165	1,473	1,165
Beds in Service -- Adult	1,203	836	1,209	836
Beds in Service -- Pediatrics	172	172	172	172
Total Staffed Beds	1,375	1,117	1,381	1,117
Discharges:				
Adult	16,025	11,562	49,456	34,611
Pediatrics	1,534	1,505	4,835	4,656
Total	17,559	14,611	54,291	43,637
Patient Days:				
Adult	88,396	62,909	276,715	193,999
Pediatrics	12,490	12,075	36,551	36,855
Total	100,886	83,958	313,266	255,393
Observation Days:				
Adult	7,946	6,059	21,878	16,819
Pediatrics	719	737	2,206	2,173
Total	8,665	7,103	24,084	20,025
Total Inpatient Activity:				
Adult	96,342	68,968	298,593	210,818
Pediatrics	13,209	12,812	38,757	39,028
Total	109,551	91,061	337,350	275,418
Average Length of Stay:				
Adult	5.52	5.44	5.60	5.61
Pediatrics	8.14	8.02	7.56	7.92
Total	5.75	5.75	5.77	5.85
Percent of Total Occupancy of Beds in Service:				
Adult	88.0%	90.7%	90.5%	92.0%
Pediatrics	84.4%	81.9%	82.5%	82.8%
Total	87.6%	89.6%	89.5%	90.0%
Medicare Case Mix Index	1.785	1.975	1.712	1.924
Inpatient Surgeries	4,027	3,293	12,086	9,945
Outpatient Statistics:				
Emergency Department Visits	84,823	53,308	251,936	156,866
Clinic and office visits	138,028	116,620	400,607	363,458
Ambulatory Surgeries	9,816	5,957	28,685	17,111

Brown University Health (Brown Health) and Affiliates
Notes to Interim Financial Statements (Unaudited)
(In thousands)

Note 1: The interim consolidated financial information of Brown Health Corporation, and the interim combined financial information of the Brown Health OG furnished herein is unaudited; however, in the opinion of management, the information reflects all adjustments that are necessary to fairly state the consolidated financial position of Brown Health, the combined Brown Health OG, the results of their operations, and consolidated cash flows for the interim periods indicated on the same basis as Brown Health's audited consolidated financial statements. All the adjustments are of a normal recurring nature. These interim financial statements do not include all the information and footnote disclosures required by generally accepted accounting principles.

The unaudited financial statements and notes thereon for the interim periods ending June 30, 2025, report the Brown Health Obligated Group (OG) including Rhode Island Hospital and Affiliates (RIH), The Miriam Hospital (TMH), Emma Pendleton Bradley Hospital (EPBH), Newport Hospital (NH), Saint Anne's Hospital (SAH), Morton Hospital (MH) (together "the Hospitals"), and Rhode Island Hospital Foundation (RIHF) and The Miriam Hospital Foundation (TMHF) (together "the Foundations").

The unaudited interim financial statements and notes thereon for the interim periods ending June 30, 2024, report the Brown Health OG including RIH, TMH, EPBH (together "the OG Hospitals"), and RIHF and TMHF (together "the OG Foundations"). Separately, the Newport Hospital Obligated Group (Newport OG) was comprised of NH and Newport Hospital Foundation.

Brown Health presumes that users of this interim financial information have read or have access to Brown Health's audited consolidated financial statements for the preceding fiscal year, and that the adequacy of additional disclosure needed for a fair presentation may be determined in that context. Accordingly, footnotes and other disclosures that would substantially duplicate the disclosures contained in Brown Health's most recent audited consolidated financial statements have been omitted.

All significant intercompany accounts and transactions have been eliminated in the combination of the Brown Health OG.

Brown Health Corporation (cont'd)
Notes to Interim Financial Statements (Unaudited)
(In thousands)

Note 2: The composition of assets limited as to use on June 30th is set forth in the following tables. Effective in FY 2025, Newport Hospital is part of the Brown Health OG including any related debt obligations:

	<u>June 30, 2025</u>		<u>June 30, 2024</u>		
	<u>Brown Health OG</u>	<u>Brown Health Consolidated</u>	<u>Brown Health OG</u>	<u>Newport OG</u>	<u>Brown Health Consolidated</u>
Funds available for self-insurance liabilities	-	\$ 291,049	-	-	\$ 247,764
Funds held by third parties under long-term debt agreements	\$ 378,192	378,192	\$ 300,701	-	300,701
Investments without donor restrictions	589,982	914,586	533,934	\$ 140,597	676,198
Temporarily restricted funds	565,954	572,186	418,167	90,659	515,114
Permanently restricted funds	<u>181,550</u>	<u>184,625</u>	<u>163,814</u>	<u>11,272</u>	<u>178,162</u>
Total	1,715,678	2,340,638	1,416,616	242,528	1,917,939
Less amount required to meet current obligations	<u>-</u>	<u>(74,214)</u>	<u>-</u>	<u>-</u>	<u>(69,999)</u>
Noncurrent assets limited as to use	<u>\$ 1,715,678</u>	<u>\$ 2,266,424</u>	<u>\$ 1,416,616</u>	<u>\$ 242,528</u>	<u>\$ 1,847,940</u>

Note 3: On May 6, 2025 (the date of issuance of the Series 2025 taxable bonds), Brown Health added SAH, MH and NH to the OG, following satisfaction of all condition's precedent under the Master Trust Indenture and receipt of all necessary approvals. In connection with NH's joinder to the Obligated Group, Brown Health secured NH's obligations under the Rhode Island Health and Educational Building Corporation (RIHEBC) Hospital Financing Refunding Bond, Newport Hospital Issue, Series 2014 (the "Newport Bonds") with an obligation under the Master Trust Indenture.

On May 6, 2025, the Massachusetts Development Finance Agency (the "Issuer") issued, on behalf of SAH and MH, \$259,800 of tax-exempt fixed rate, serial, and term bonds due from August 15, 2040 through 2055 in annual amounts ranging from \$13,780 to \$36,435, at interest rates ranging from 5.00% to 5.50%, with effective yields of approximately 4.04% - 4.60%. The Series 2025A (the "Series 2025A Bonds") and Series 2025B (the "Series 2025B Bonds" and together with the Series 2025 A Bonds, the "Bonds") Hospital Financing Revenue Refunding Bonds are secured by a pledge of the gross receipts of the OG Hospitals and by mortgage liens on substantially all of RIH's and TMH's real property and all buildings, structures, and improvements thereon. The OG is jointly and severally liable for repayment. Under the bond terms, the OG Hospitals are required to satisfy certain measures of financial performance for as long as the bonds are outstanding. The Series 2025B Bonds are subject to mandatory tender on August 15, 2031.

On May 6, 2025, Brown Health (the "Issuer") issued, on behalf of the SAH and MH, \$156,950 of taxable fixed rate bullet bonds with an effective yield of approximately 5.05%. The bonds mature in full on February 15, 2030. Interest-only payments are due semiannually on February 15 and August 15, commencing February 15, 2026, with the entire principal due upon maturity. The 2025C Bonds are insured by Assured Guaranty, Inc.

On May 29, 2025, Brown Health repaid its short-term interim borrowings and lines of credit balances as part of its long-term debt offering.

Note 4: On December 31, 2024, the Brown Health OG entered into a bridge loan agreement in the amount of \$55,000 with Morgan Stanley Bank, N.A, with a variable rate of Daily Simple SOFR plus a spread of 1.95%. and a maturity date of December 15, 2025. The bridge loan was repaid as part of the long-term debt offering described in note 3.

Note 5: On December 31, 2024, the Brown Health OG entered into a term loan agreement in the amount of \$220,000 with Bank of America, N.A, at a fixed rate of 5.40% and maturity date of December 31, 2027. The term loan was repaid as part of the long-term debt offering described in note 3.

Note 6: Brown Health executed an asset purchase agreement effective October 1, 2024, acquiring SAH, MH, and Hawthorn Medical Associates for total consideration of approximately \$176,700. The purchase was funded through a combination of cash and \$100,000 of promissory notes from private third parties secured by a Master Trust Indenture obligation. The notes have a fixed interest rate of 5.42% and mature on October 1, 2029. On November 1, 2024, Brown Health acquired services at 70 Walnut Street in Foxborough, MA that were previously under the Norwood Hospital license.